

NAFT · PRO EBOOK

Forex Fundamentals Bootcamp

From zero to confident forex trader

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Complete Beginner to Intermediate Course — 12 Modules, 40+ Lessons

Everything You Need to Start Trading Forex Properly

Author: GoGang Trading Education

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MODULE 1: WHAT IS FOREX & HOW DOES IT WORK?

Lesson 1.1: Forex in 60 Seconds

Right. Let me break this down as simply as humanly possible.

Forex — short for "Foreign Exchange" — is the market where currencies are traded. That's it. You're buying one currency and selling another at the same time.

Every time you've been on holiday and swapped pounds for euros at the airport? You participated in the forex market. Except in trading, you're doing it digitally, from your laptop, and trying to profit from the price changes.

Lesson 1.2: Why Forex?

WHY PEOPLE TRADE FOREX:

- ✓ Largest market in the world – \$7.5 TRILLION traded daily
- ✓ Open 24 hours, 5 days a week (Sunday evening to Friday night)
- ✓ You can start with as little as £50-100
- ✓ You can profit whether prices go UP or DOWN
- ✓ High liquidity – you can always enter and exit trades
- ✓ Low barriers to entry – anyone with a laptop can start
- ✓ Leverage – control large positions with small capital

Lesson 1.3: How Does a Forex Trade Work?

Dead simple. You're making a bet on which direction a currency will move.

EXAMPLE 1: BUYING (Going Long)

[illegible]

You think the British Pound will strengthen against the US Dollar.
You BUY GBP/USD at 1.2700.
Price moves to 1.2750 – that's 50 pips in your favour.
You CLOSE the trade and pocket the profit.

EXAMPLE 2: SELLING (Going Short)

[illegible]

You think the Euro will weaken against the US Dollar.
You SELL EUR/USD at 1.0900.
Price drops to 1.0850 – that's 50 pips in your favour.
You CLOSE the trade and pocket the profit.

The beauty of forex? You make money whether prices go up OR down. You just need to be on the right side.

Lesson 1.4: Who Moves the Market?

THE PLAYERS (from biggest to smallest):

[illegible]

1. **CENTRAL BANKS** – Bank of England, Federal Reserve, ECB
They set interest rates and monetary policy. Biggest movers.
2. **COMMERCIAL BANKS** – Goldman Sachs, JP Morgan, Deutsche Bank

They execute huge orders for clients and themselves.

3. HEDGE FUNDS — Large speculative traders
They bet billions on currency movements.
4. CORPORATIONS — Apple, Shell, Toyota
They need to exchange currencies for international business.
5. RETAIL TRADERS — You and me
We're the smallest fish. But we can still profit.

Lesson 1.5: Where Does Trading Happen?

There's no physical "forex exchange" building. It's completely electronic — a decentralised network of banks, brokers, and traders connected through the internet.

You access it through a BROKER. The broker gives you a platform (like MetaTrader 4, MetaTrader 5, or cTrader) and connects you to the market.

YOUR SETUP:

You → Broker → Liquidity Providers → Global Market

All you need:

- A laptop or phone
- Internet connection
- A broker account (free to open)
- A trading platform (free to download)
- Starting capital (as low as £50)

Quiz — Module 1

1. What does "forex" stand for?
2. How much money is traded in forex markets daily?
3. Can you profit when prices go DOWN in forex? (Yes/No)
4. Name the 3 largest players in the forex market.
5. What do you need to access the forex market as a retail trader?

MODULE 2: CURRENCY PAIRS — READING THE MARKET LANGUAGE

Lesson 2.1: What Is a Currency Pair?

Currencies are always traded in PAIRS. You can't just "buy the pound." You buy the pound AGAINST something — usually the dollar.

GBP/USD = British Pound vs US Dollar

BASE CURRENCY / QUOTE CURRENCY

↑ ↑

First one	Second one
(what you buy)	(what you sell)

If $\text{GBP/USD} = 1.2700$, it means:
£1 = \$1.27

If the price goes UP to 1.2800:
The pound STRENGTHENED (went up in value vs the dollar)

If the price goes DOWN to 1.2600:
The pound WEAKENED (went down in value vs the dollar)

Lesson 2.2: The Three Categories of Pairs

MAJOR PAIRS (Most traded, tightest spreads):

EUR/USD – "The Fibre"
GBP/USD – "Cable"
USD/JPY – "The Gopher"
USD/CHF – "The Swissy"
AUD/USD – "The Aussie"
USD/CAD – "The Loonie"
NZD/USD – "The Kiwi"

ALL major pairs contain USD.

MINOR PAIRS (Cross pairs, no USD):

EUR/GBP
EUR/JPY
GBP/JPY
AUD/NZD
EUR/AUD

Decent volume, slightly wider spreads.

EXOTIC PAIRS (One major + one emerging currency):

- USD/ZAR (South African Rand)
- USD/TRY (Turkish Lira)
- EUR/PLN (Polish Zloty)
- GBP/SGD (Singapore Dollar)

Wide spreads, volatile, risky. Avoid as a beginner.

Lesson 2.3: What's a Pip?

A pip is the smallest standard movement in a currency pair. For most pairs, it's the 4th decimal place.

EUR/USD moves from 1.0900 to 1.0901 = 1 pip
GBP/USD moves from 1.2700 to 1.2750 = 50 pips

EXCEPTION: JPY pairs use 2 decimal places
USD/JPY moves from 150.00 to 150.01 = 1 pip

USD/JPY moves from 150.00 to 150.50 = 50 pips

Lesson 2.4: What's a Pip Worth?

FOR A STANDARD LOT (100,000 units):

EUR/USD: 1 pip = \$10

GBP/USD: 1 pip = \$10

USD/JPY: 1 pip $\approx$ \$6.60 (varies with exchange rate)

FOR A MINI LOT (10,000 units):

1 pip = \$1

FOR A MICRO LOT (1,000 units):

1 pip = \$0.10

QUICK MEMORY TRICK:

Standard lot: 1 pip = \$10

Mini lot: 1 pip = \$1

Micro lot: 1 pip = 10 cents

Lesson 2.5: The Spread — Your Cost of Trading

The spread is the difference between the BUY price (Ask) and the SELL price (Bid). It's how your broker makes money.

EXAMPLE:

EUR/USD Bid: 1.0898 | Ask: 1.0900

SPREAD: 2 pips (0.0002)

When you BUY, you enter at 1.0900 (the higher price)

When you SELL, you enter at 1.0898 (the lower price)

That 2-pip difference is your "entry cost."

Your trade needs to move 2 pips in your favour just to break even.

TYPICAL SPREADS:

EUR/USD: 0.5-1.5 pips (tightest)

GBP/USD: 1-2 pips

USD/JPY: 0.5-1.5 pips

GBP/JPY: 2-4 pips (wider)

Exotics: 5-50+ pips (avoid these)

Lesson 2.6: Which Pairs Should Beginners Trade?

START WITH THESE 3:

[illegible]

1. EUR/USD – Most liquid, tightest spread, smoothest movement
2. GBP/USD – Good movement, familiar if you're UK-based
3. USD/JPY – Clean trends, good for beginners

AVOID UNTIL INTERMEDIATE:

- GBP/JPY (too volatile, called "the widow maker")
- Exotic pairs (wide spreads, unpredictable)

- Gold/XAUUSD (moves fast, needs larger stop losses)

Quiz — Module 2

1. In GBP/USD, which is the base currency?
2. If EUR/USD goes from 1.0900 to 1.0950, how many pips moved?
3. What is a "pip" in USD/JPY? (Which decimal place?)
4. How much is 1 pip worth on a standard lot (EUR/USD)?
5. What is the "spread" and why does it matter?

MODULE 3: HOW TO READ PRICE CHARTS

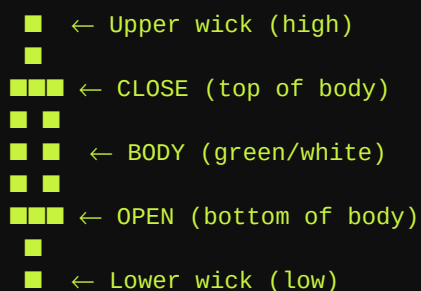
Lesson 3.1: Chart Types

There are three main chart types. You only need to care about one.

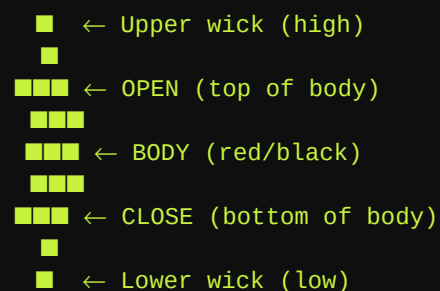
1. LINE CHART — Connects closing prices with a line.
Simple but lacks detail. Useless for proper analysis.
2. BAR CHART — Shows open, high, low, close (OHLC).
Has all the info but hard to read at a glance.
3. CANDLESTICK CHART — Same info as bar charts, but visual and clear.
THIS IS WHAT YOU'LL USE. 99% of traders use candlesticks.

Lesson 3.2: Reading a Candlestick

BULLISH CANDLE (Price went UP):



BEARISH CANDLE (Price went DOWN):



BULLISH: Close is ABOVE open (buyers won)

BEARISH: Close is BELOW open (sellers won)

Lesson 3.3: Timeframes — What They Mean

Each candlestick represents a specific TIME PERIOD:

TIMEFRAME	EACH CANDLE =	BEST FOR
M1	1 minute	Scalping (advanced)
M5	5 minutes	Scalping

M15	15 minutes	Day trading entries
H1	1 hour	Day trading
H4	4 hours	Swing trading
Daily (D1)	1 day	Swing/position trading
Weekly (W1)	1 week	Long-term analysis
Monthly (MN)	1 month	Big picture direction

Lesson 3.4: Multi-Timeframe Analysis (Simple Version)

THE 3-SCREEN METHOD:



Screen 1 (BIG PICTURE): Daily or H4

→ "Where is price going overall?"

→ This sets your BIAS (buy or sell direction)

Screen 2 (MEDIUM): H1

→ "Is the current move supporting my bias?"

→ This confirms timing

Screen 3 (ENTRY): M15

→ "Where exactly do I enter?"

→ This gives your precise entry point

RULE: NEVER trade against the higher timeframe direction.

If Daily is bearish, don't try to buy on M15.

Lesson 3.5: What to Look for on a Chart

When you open a chart, look for these things in this order:

1. TREND – Is price going up, down, or sideways?
2. KEY LEVELS – Where has price bounced before?
3. CURRENT POSITION – Where is price NOW relative to those levels?
4. CANDLE BEHAVIOUR – Are candles getting bigger or smaller?
5. WICKS – Long wicks show rejection (price was pushed back)

Quiz — Module 3

1. What are the three types of charts?
2. Which chart type do most traders use?
3. What does the "body" of a candlestick represent?
4. What timeframe would you use for setting overall direction?
5. If the Daily chart is bullish, should you sell on M15? (Yes/No)

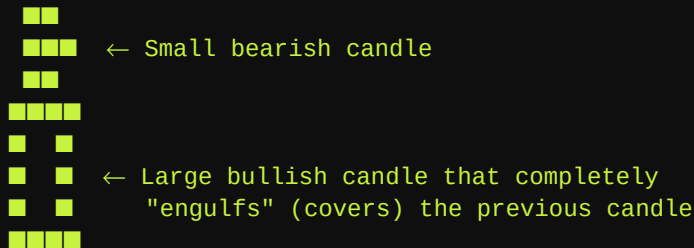
MODULE 4: CANDLESTICK PATTERNS THAT ACTUALLY MATTER

Lesson 4.1: Forget Most Patterns — Focus on These

There are hundreds of candlestick patterns in textbooks. Most of them are useless noise. I'm giving you the 6 that actually work in real trading. Master these and ignore the rest.

Lesson 4.2: Bullish Engulfing

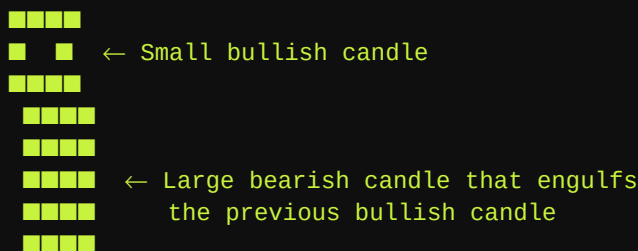
WHAT IT LOOKS LIKE:



MEANING: Buyers overwhelmed sellers. Potential reversal to the upside.
TRADE: Go long (buy) when this appears at support or an order block.
CONFIDENCE: High – especially after a downtrend near a key level.

Lesson 4.3: Bearish Engulfing

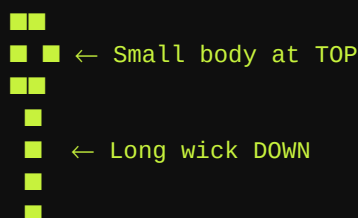
WHAT IT LOOKS LIKE:



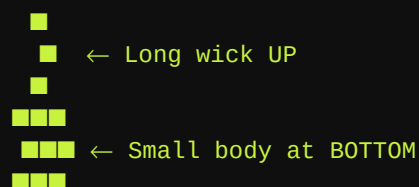
MEANING: Sellers overwhelmed buyers. Potential reversal to the downside.
TRADE: Go short (sell) when this appears at resistance or a supply zone.

Lesson 4.4: Pin Bar (Hammer / Shooting Star)

BULLISH PIN BAR (Hammer):



BEARISH PIN BAR (Shooting Star):



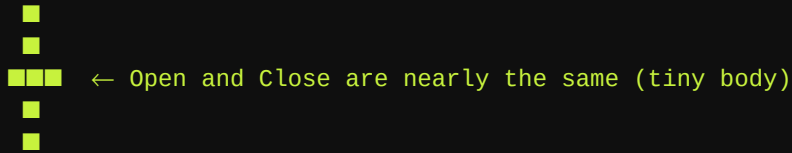
HAMMER: Long lower wick = buyers rejected lower prices aggressively.
Appears at bottoms. Signal: BUY.

SHOOTING STAR: Long upper wick = sellers rejected higher prices.
Appears at tops. Signal: SELL.

KEY: The wick should be at least 2-3x the size of the body.

Lesson 4.5: Doji — The Indecision Candle

WHAT IT LOOKS LIKE:



MEANING: Market is UNDECIDED. Neither buyers nor sellers won.

TRADE: Don't trade the doji itself. Wait for the NEXT candle to confirm direction.

USE: A doji after a strong trend = possible exhaustion/reversal coming.

Lesson 4.6: Morning Star & Evening Star (3-Candle Reversals)

MORNING STAR (Bullish Reversal):



MEANING: Sellers ran out of steam, buyers took over.

APPEARS: At the bottom of a downtrend.

EVENING STAR (Bearish Reversal):

Opposite – bullish candle, small candle, then big bearish candle at a top.

Lesson 4.7: How to Use Candlestick Patterns Properly

RULES:



1. NEVER trade a pattern in isolation. It needs CONTEXT.
 - Is it at a key support/resistance level? ← Good
 - Is it floating in the middle of nowhere? ← Ignore it
2. Higher timeframe patterns are MORE reliable.
 - Engulfing on H4 = strong signal
 - Engulfing on M5 = weak signal (could be noise)
3. Confirmation is king.
 - See a bullish engulfing? Wait for the next candle to close bullish.
 - Then enter. Not before.
4. Volume matters.
 - Big candles with high volume = real moves
 - Big candles with low volume = possible fake-outs

Quiz — Module 4

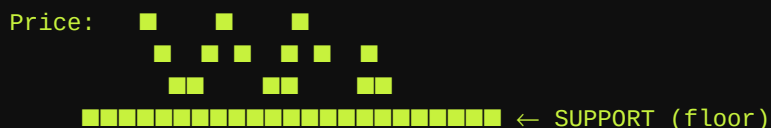
1. What does a bullish engulfing candle tell you?
2. Where should you look for pin bars for them to be reliable?
3. What does a doji candle mean?
4. Should you ever trade a candlestick pattern floating in empty space? (Yes/No)
5. Are patterns on H4 more or less reliable than patterns on M5?

MODULE 5: SUPPORT, RESISTANCE & KEY LEVELS

Lesson 5.1: What Is Support?

Support is a price level where BUYERS step in. Price drops to that level and bounces back up — repeatedly. Think of it like a floor.

SUPPORT:



Price keeps bouncing UP from this level.
Buyers are defending it.

Lesson 5.2: What Is Resistance?

Resistance is where SELLERS step in. Price rises to that level and gets pushed back down — repeatedly. Think of it like a ceiling.

RESISTANCE:



Price keeps bouncing DOWN from this level.
Sellers are defending it.

Lesson 5.3: How to Draw Levels Properly

RULES FOR DRAWING SUPPORT & RESISTANCE:



1. Use H4 or Daily timeframe (not M5 – too much noise)
2. Look for levels price has BOUNCED from at least 2-3 times
3. Use the BODY of candles, not just wicks (bodies are more reliable)
4. Levels are ZONES, not exact lines (give them a range of 5-15 pips)
5. Round numbers are natural levels (1.3000, 150.00, etc.)
6. The more times a level has been tested, the stronger it is

7. When support BREAKS, it becomes resistance (and vice versa)

Lesson 5.4: Support Becomes Resistance (Polarity)

This is one of the most powerful concepts in all of trading.

BEFORE BREAK:

Price bounces UP from support ↑↑↑
 ← SUPPORT

AFTER BREAK:

Price broke below support
 ← NOW IT'S RESISTANCE
 Price bounces DOWN from it ↓↓↓

WHY? The people who bought at "support" are now in losing positions. When price comes back to that level, they sell to "get out even." That selling pressure turns old support into new resistance.

Lesson 5.5: Key Levels — The Most Important Ones

Not all levels are equal. Prioritise these:

STRENGTH RANKING (strongest to weakest):

[illegible]

1. WEEKLY/MONTHLY levels – tested over months/years
2. DAILY levels – where big players make decisions
3. H4 levels – good for swing trade entries
4. ROUND NUMBERS – psychological barriers (1.3000, 1.2500)
5. PREVIOUS DAY HIGH/LOW – day traders watch these
6. SESSION HIGHS/LOWS – London high, NY low

RULE: Only mark 3-5 KEY levels on your chart.
Too many lines = confusion = bad decisions.
Less is more.

Lesson 5.6: Trading Support & Resistance

STRATEGY 1: BOUNCE TRADING (Fading the level)

[illegible]

- Price approaches support → Look for bullish candle pattern → BUY
- Price approaches resistance → Look for bearish candle pattern → SELL
- Stop loss: Beyond the level (if support, SL below it)
- Take profit: Opposite level

STRATEGY 2: BREAKOUT TRADING

[illegible]

- Price breaks THROUGH a level with strong candles
- Wait for a RETEST of the broken level
- If it holds as new support/resistance → Enter in breakout direction
- Stop loss: Beyond the retest level

- Take profit: Next key level

BEGINNER RULE: Start with bounce trading. It's safer and simpler.

Quiz — Module 5

1. What is support? (Explain in your own words)
2. What happens when support breaks? What does it become?
3. How many times should price bounce from a level before you mark it?
4. Should you draw levels on M5 or Daily? Why?
5. What are "round numbers" and why do they matter?

MODULE 6: INDICATORS — WHICH ONES WORK & WHICH ARE RUBBISH

Lesson 6.1: The Truth About Indicators

Here's what nobody tells beginners: indicators DON'T predict the future. They show you what already happened — with a delay. They're LAGGING.

That said, some are useful for confirmation. But they should never be your primary decision maker.

THE INDICATOR PYRAMID:



PRIMARY DECISION:	Price Action + Structure (what you learned in Modules 3-5)
CONFIRMATION:	1-2 indicators to validate your idea
RUBBISH:	5+ indicators covering your chart in rainbow spaghetti

If your chart looks like a Christmas tree — you're doing it wrong.

Lesson 6.2: The 4 Indicators Worth Learning

1. Moving Averages (MA)

WHAT IT DOES: Smooths price data to show the average direction.

BEST SETTINGS:

- 20 EMA (fast — shows short-term trend)
- 50 EMA (medium — shows intermediate trend)
- 200 EMA/SMA (slow — shows the big picture trend)

HOW TO USE:

- Price ABOVE the 200 MA = Market is bullish overall → look for buys
- Price BELOW the 200 MA = Market is bearish overall → look for sells
- 20 EMA crossing above 50 EMA = bullish momentum increasing

SIMPLE RULE: If price is above the 200 MA on Daily, only take longs.

2. RSI (Relative Strength Index)

WHAT IT DOES: Measures momentum on a scale of 0-100.

BEST SETTING: 14 period (default)

HOW TO USE:

- RSI above 70 = "Overbought" – price might be stretched too far up
- RSI below 30 = "Oversold" – price might be stretched too far down
- RSI DIVERGENCE = Most powerful signal

RSI DIVERGENCE:

- Price makes a HIGHER HIGH but RSI makes a LOWER HIGH
= Bearish divergence (momentum weakening, possible reversal down)
- Price makes a LOWER LOW but RSI makes a HIGHER LOW
= Bullish divergence (momentum weakening, possible reversal up)

WARNING: RSI can stay "overbought" for weeks in strong trends.

Don't sell JUST because RSI is above 70. Use it for confirmation only.

3. Volume (or Tick Volume)

WHAT IT DOES: Shows how much trading activity occurred in each candle.

NOTE: Forex doesn't have centralised volume – tick volume is a proxy.

HOW TO USE:

- BIG candle + HIGH volume = Real, strong move (trust it)
- BIG candle + LOW volume = Possible fake move (be cautious)
- Breakout + HIGH volume = Likely to continue
- Breakout + LOW volume = Likely to fail (fake breakout)

SIMPLE RULE: Volume confirms moves. High volume = conviction.

4. ATR (Average True Range)

WHAT IT DOES: Measures VOLATILITY – how much price typically moves.

BEST SETTING: 14 period

HOW TO USE:

- Use ATR to set stop losses and take profits
- If ATR is 50 pips → your SL should be at LEAST 50 pips (or you'll get stopped by normal noise)
- If ATR is 25 pips → you can use a tighter 25-30 pip stop

RULE: Your stop loss should NEVER be smaller than 1x ATR.

Otherwise, normal market "noise" will trigger your stop.

Lesson 6.3: Indicators to AVOID

RUBBISH FOR BEGINNERS:



- X MACD – Confusing and lagging. Signals come too late.
- X Bollinger Bands – Useful for advanced traders, overwhelming for beginners.
- X Ichimoku Cloud – Overly complex. You don't need it.
- X Stochastic – Same info as RSI but messier.
- X Custom/paid indicators – 99% are scams repackaging free tools.
- X Any "signal bot" or "AI indicator" – They don't work.

Lesson 6.4: The Clean Chart Philosophy

MY RECOMMENDED CHART SETUP FOR BEGINNERS:



- Candlestick chart
- 200 EMA (optional – just for overall direction)
- Support/Resistance levels (drawn manually)
- That's it. Nothing else.

Your EYES and your understanding of price action will outperform any indicator ever created. Indicators are training wheels. Eventually, take them off.

Quiz — Module 6

1. Do indicators predict the future? (Yes/No)
2. What does it mean if price is ABOVE the 200 EMA?
3. What RSI reading means "overbought"?
4. What does high volume during a breakout tell you?
5. How many indicators should you have on your chart? (Maximum)

MODULE 7: TRADING SESSIONS & WHEN TO TRADE

Lesson 7.1: The Three Major Sessions

The forex market runs 24 hours, but it's NOT equally active throughout. It's divided into three sessions:

SESSION	TIME (UK/GMT)	KEY CURRENCIES
TOKYO/ASIAN	00:00 - 08:00	JPY, AUD, NZD
LONDON	08:00 - 16:00	GBP, EUR, CHF
NEW YORK	13:00 - 21:00	USD, CAD

OVERLAP (London + NY): 13:00 - 16:00 ← MOST VOLATILE PERIOD

Lesson 7.2: When Is the Best Time to Trade?

BEST TIMES:



1. LONDON OPEN (08:00-10:00 UK) – Fresh volatility, trends begin
2. LONDON/NY OVERLAP (13:00-16:00 UK) – Maximum volume, biggest moves
3. FIRST HOUR OF NY (13:00-14:00 UK) – US data releases, strong moves

WORST TIMES:



1. ASIAN SESSION (unless trading JPY/AUD) – Low volatility, choppy

2. LATE NY (after 19:00 UK) – Volume dying, erratic movements
3. FRIDAY AFTERNOON – Everyone's closing positions, unpredictable
4. HOLIDAYS – No volume, spreads widen, avoid completely

Lesson 7.3: Session Characteristics

LONDON SESSION:

- Most liquid session (37% of daily volume)
- Big moves happen in the first 1-2 hours
- Trends established here often carry through the day
- Best for: GBP, EUR pairs

NEW YORK SESSION:

- Second most active session (17% of volume)
- US economic data releases drive major moves
- Often continues OR reverses London trends
- Best for: USD pairs

TOKYO SESSION:

- Lowest volatility of the three
- Small ranges (30-50 pips on majors)
- Good for: JPY pairs, range trading
- Avoid if you like big moves

Lesson 7.4: The Economic Calendar

Certain news events cause massive price spikes. You MUST know when they're coming.

HIGH-IMPACT NEWS EVENTS (AVOID or trade with caution):

[illegible]

- Interest Rate Decisions (BoE, Fed, ECB)
- Non-Farm Payrolls (NFP) – First Friday of every month
- CPI (Inflation data)
- GDP figures
- Central Bank speeches (Powell, Bailey, Lagarde)

RULE FOR BEGINNERS:

DO NOT trade 30 minutes before or after high-impact news.

The spikes are unpredictable and can blow your stop loss instantly.

WHERE TO CHECK: [ForexFactory.com](https://www.forexfactory.com/calendar) → Calendar → Filter for HIGH impact only

Lesson 7.5: Building Your Trading Schedule

EXAMPLE SCHEDULE (UK-BASED, PART-TIME TRADER):

[illegible]

07:30 – Check Daily charts, mark levels, set bias

08:00 – London open: Watch for setups forming

08:30-10:30 – PRIMARY TRADING WINDOW (2 hours)

10:30 – If no trade by now, step away until NY

13:00-14:30 – NY open: Second trading window

14:30 – Done for the day

Total screen time: 3-4 hours

Actual trades: 0-2 per day

REMEMBER: You don't need to trade every day.
The best traders often have days where they do NOTHING.
No trade is better than a bad trade.

Quiz — Module 7

1. What are the three major forex trading sessions?
2. When is the London/New York overlap? (UK time)
3. Why should beginners avoid trading during high-impact news?
4. Which session is best for GBP pairs?
5. Is it okay to have zero trades in a day? (Yes/No)

MODULE 8: ORDER TYPES — MARKET, LIMIT, STOP EXPLAINED

Lesson 8.1: Market Orders

A market order executes IMMEDIATELY at the current price.

WHEN TO USE:

- You see a setup forming RIGHT NOW and need to get in
- Price is at your level and showing confirmation
- You can't wait – the move is happening

PROS: Instant execution, you're in the trade immediately

CONS: You might get slight "slippage" (filled at a slightly different price)

Lesson 8.2: Limit Orders (Buy Limit / Sell Limit)

A limit order waits at a specific price. It only triggers when price REACHES that level.

BUY LIMIT – placed BELOW current price

"I want to buy, but only if price comes down to this level first"

SELL LIMIT – placed ABOVE current price

"I want to sell, but only if price goes up to this level first"

EXAMPLE:

Current price: 1.0900

You want to buy at 1.0850 (a support level below)

→ Place a BUY LIMIT at 1.0850

→ If price drops to 1.0850, your order automatically executes

→ If price never reaches 1.0850, no trade happens

PROS: You set it and forget it. Don't need to watch the screen.

CONS: Price might not reach your level. You might miss the move.

Lesson 8.3: Stop Orders (Buy Stop / Sell Stop)

A stop order triggers when price **BREAKS THROUGH** a level (used for breakout trading).

BUY STOP – placed ABOVE current price

"I want to buy if price breaks above this resistance"

SELL STOP – placed **BELOW** current price

"I want to sell if price breaks below this support"

EXAMPLE:

Current price: 1.0900

Resistance at: 1.0950

You place a BUY STOP at 1.0955 (just above resistance)

→ If price breaks up through 1.0950, your buy triggers at 1.0955

→ You're now riding the breakout

PROS: Catches breakouts without you watching

CONS: Fake breakouts can trigger your stop order then reverse

Lesson 8.4: Stop Loss Orders — YOUR SAFETY NET

WHAT IT IS: An automatic exit that closes your trade at a specific loss level.

EXAMPLE:

You buy EUR/USD at 1.0900

You set a Stop Loss at 1.0870 (30 pips below entry)

If price drops to 1.0870 → Your trade AUTOMATICALLY closes

Maximum loss: 30 pips (whatever that equals in £)

RULE: ALWAYS use a stop loss. ALWAYS.

Trading without a stop loss is gambling with unlimited risk.

Lesson 8.5: Take Profit Orders — LOCK IN YOUR WINS

WHAT IT IS: An automatic exit that closes your trade at your target profit level.

EXAMPLE:

You buy EUR/USD at 1.0900

You set Take Profit at 1.0960 (60 pips above entry)

If price rises to 1.0960 → Your trade AUTOMATICALLY closes

Profit: 60 pips

WHY USE IT:

- You don't have to watch the screen 24/7
- Removes the temptation to close early out of fear
- Removes the greed of "just a few more pips"
- Executes your plan exactly as intended

Lesson 8.6: Putting It All Together

A COMPLETE TRADE ORDER:

[illegible]

Entry: BUY EUR/USD at 1.0900 (Market order or Buy Limit)

Stop Loss: 1.0870 (30 pips risk)
Take Profit: 1.0960 (60 pips reward)
Risk-Reward: 1:2

Once all three are set – LEAVE IT ALONE.
Let the market do its thing. Go live your life.
Come back when one of them triggers.

Quiz — Module 8

1. What's the difference between a market order and a limit order?
2. Where do you place a Buy Limit – above or below current price?
3. What is a Stop Loss and why is it essential?
4. If you buy at 1.0900 with a TP at 1.0960, how many pips is your target?
5. Should you ever trade without a stop loss? (Yes/No)

MODULE 9: LEVERAGE & MARGIN — THE DOUBLE-EDGED SWORD

Lesson 9.1: What Is Leverage?

Leverage lets you control a large position with a small amount of money. It's borrowed power from your broker.

EXAMPLE:



Without leverage:

You have £1,000. You can control £1,000 worth of currency.

A 1% move = £10 profit or loss.

With 1:100 leverage:

You have £1,000. You can control £100,000 worth of currency.

A 1% move = £1,000 profit or loss.

See the difference? Same £1,000 in your account.

But with leverage, both profits AND losses are magnified 100x.

Lesson 9.2: Common Leverage Levels

LEVERAGE	WHAT IT MEANS	MARGIN NEEDED
1:1	No leverage (you use all cash)	100% of trade value
1:10	Control 10x your capital	10% margin
1:30	Control 30x your capital	3.33% margin (EU/UK max retail)
1:50	Control 50x your capital	2% margin
1:100	Control 100x your capital	1% margin
1:200	Control 200x your capital	0.5% margin
1:500	Control 500x your capital	0.2% margin
UK/EU REGULATION (FCA/CySEC):		

- Retail traders: Maximum 1:30 on major pairs
- Professional traders: Up to 1:500

OFFSHORE BROKERS:

- Often offer 1:500 or even 1:1000
- MORE IS NOT BETTER. Higher leverage = faster account blow-ups.

Lesson 9.3: What Is Margin?

Margin is the amount of YOUR money the broker "locks up" to keep a trade open. It's like a deposit.

EXAMPLE:

[illegible]

You want to buy 1 standard lot of EUR/USD (worth \$100,000)
Your leverage: 1:100

$$\text{Margin required} = \$100,000 \div 100 = \$1,000$$

So you need at least \$1,000 in your account to open this trade. The rest (\$99,000) is "lent" to you by the broker.

FREE MARGIN: The money left in your account that's NOT tied up in trades.

USED MARGIN: The money currently locked in open positions.

MARGIN LEVEL: $(\text{Equity} \div \text{Used Margin}) \times 100$ – must stay above a threshold.

Lesson 9.4: The Margin Call — When It All Goes Wrong

WHAT IS A MARGIN CALL?

[illegible]

When your losses eat into your margin to a dangerous level, the broker issues a WARNING: "Add more funds or close positions."

WHAT IS STOP-OUT?

If you ignore the margin call and losses continue, the broker **AUTOMATICALLY** closes your positions to protect themselves.

TYPICAL LEVELS:

Margin Call: When margin level drops below 100%

Stop-Out: When margin level drops below 50% (varies by broker)

IN PLAIN ENGLISH:

If your account drops so low that you can't cover the margin, the broker forcibly closes your trades – usually at the worst possible price.

Lesson 9.5: How Much Leverage Should YOU Use?

THE HONEST ANSWER:

[illegible]

Beginners: Use MINIMAL effective leverage

RULE OF THUMB:

- Never have more than 3-5% of your account tied up in margin
- If 1% risk per trade means using 0.1 lots, then use 0.1 lots regardless of whether your broker **ALLOWS** you to use 1.0 lots

Just because you **CAN** use high leverage doesn't mean you **SHOULD**.

PRACTICAL EXAMPLE:

Account: £1,000

Available leverage: 1:100

Max position you **COULD** open: £100,000 (1 standard lot)

What you **SHOULD** open: £5,000-10,000 (0.05-0.10 lots)

WHY? Because with 1 standard lot, a 10-pip move against you = £77 loss.

That's 7.7% of your account on a 10-pip move. Insanity.

With 0.05 lots, a 10-pip move = £3.85 loss. Manageable.

Lesson 9.6: The Leverage Trap

WHY MOST BEGINNERS BLOW ACCOUNTS:



1. They see 1:500 leverage
2. They think "I can make 500x my money!"
3. They open massive positions
4. Price moves 20 pips against them
5. Account wiped out in minutes

The leverage isn't the problem. The **MISUSE** of leverage is.

LEVERAGE IS A TOOL.

A chainsaw is useful. But give it to someone with no training and they'll hurt themselves. Same with leverage.

Quiz — Module 9

1. What does "1:100 leverage" mean?
2. If you have £500 and 1:100 leverage, what's the maximum position size?
3. What is "margin" in trading?
4. What happens during a "stop-out"?
5. Should a beginner with £1,000 trade 1 standard lot? (Yes/No) Why?

MODULE 10: BUILDING YOUR FIRST TRADING PLAN

Lesson 10.1: Why You Need a Plan

Trading without a plan is like driving without a destination. You might enjoy the ride for a bit, but you'll end up lost — and probably out of petrol (money).

A trading plan removes emotion from your decisions. When you've got a plan, you don't **THINK** — you **EXECUTE**.

Lesson 10.2: Your Trading Plan Template

MY TRADING PLAN	
1. MARKETS I TRADE:	
Pairs: _____, _____, _____	
(Maximum 3 pairs to start)	
2. TIMEFRAMES:	
Bias/Direction: _____ (H4 or Daily)	
Entry: _____ (M15 or H1)	
3. TRADING SESSIONS:	
Primary: _____ (London/NY)	
Hours: ____ to ____	
4. STRATEGY/SETUP:	
I only enter when: _____	

5. ENTRY RULES:	
■ Higher TF confirms direction	
■ Key level identified	
■ Candlestick confirmation present	
■ Risk-reward is 1:2 or better	
■ No high-impact news within 30 mins	
6. RISK MANAGEMENT:	
Risk per trade: ____% (start with 1%)	
Max daily loss: ____%	
Max trades per day: ____	
Stop loss method: _____	
7. EXIT RULES:	
Take Profit: _____	
Trailing stop: YES / NO	
Partial close: YES / NO (at what level?)	
8. DAILY ROUTINE:	
Pre-market analysis: ____ time	
Trading window: ____ to ____	
End-of-day review: ____ time	

Lesson 10.3: Example Completed Plan (Beginner)

MY TRADING PLAN – EXAMPLE

MARKETS: EUR/USD, GBP/USD (only 2 pairs)
TIMEFRAMES: Daily for bias, H1 for entry
SESSION: London (08:00-12:00 UK)

MAX TRADES: 2 per day

STRATEGY:

I trade Support & Resistance bounce trades only.

I buy at strong support with a bullish engulfing candle.

I sell at strong resistance with a bearish engulfing candle.

ENTRY CHECKLIST:

- Daily shows clear trend direction
- Price is at a level tested 2+ times
- Confirmation candle has closed (engulfing or pin bar)
- Risk-reward is minimum 1:2
- No news event in next 30 minutes

RISK:

1% per trade (£10 on a £1,000 account)

Max daily loss: 2% (2 losses = done for the day)

Stop loss: 10 pips beyond the support/resistance level

EXIT:

Take profit at the next key level

No trailing stop (keep it simple)

No partial closes (full target or full stop)

DAILY ROUTINE:

07:30 – Mark levels on Daily chart

08:00 – Watch London open for setups

10:00 – If no trade, step away

12:00 – Final check. Close all trades by 12:30.

12:30 – Journal any trades taken. Done.

Lesson 10.4: The Most Important Thing About a Plan

THE RULE:



A mediocre plan followed perfectly
will ALWAYS beat a perfect plan followed randomly.

It doesn't matter if your plan isn't "the best."
What matters is that you FOLLOW it consistently.
Consistency creates data. Data creates improvement.
Random trading creates nothing but losses.

Quiz — Module 10

1. Why is a trading plan important?
2. How many pairs should a beginner trade? (Maximum)
3. What should your entry checklist include before taking a trade?
4. Is a "mediocre plan followed consistently" better than a "perfect plan followed randomly"?
5. Write out YOUR trading plan using the template above.

MODULE 11: DEMO TO LIVE — MAKING THE TRANSITION

Lesson 11.1: Why Demo Accounts Exist

A demo account is a practice account with fake money. Same charts, same prices, same platform — but no real risk.

PURPOSE OF DEMO:



- ✓ Learn the platform (how to open/close trades, set SL/TP)
- ✓ Test your strategy (does it actually work over 50+ trades?)
- ✓ Build confidence (see yourself making consistent decisions)
- ✓ Develop habits (journaling, risk rules, routines)

DEMO IS NOT:

- ✗ A place to gamble with huge lot sizes "because it's fake"
- ✗ Something you skip because "I learn better with real money"
- ✗ A long-term home — you MUST transition to live eventually

Lesson 11.2: When Are You Ready for Live?

Don't go live until you can tick ALL of these:

LIVE READINESS CHECKLIST:



- I have traded demo for at least 4-8 weeks
- I have taken at least 50 trades on demo
- My demo account is in PROFIT over those 50 trades
- I have a written trading plan that I followed consistently
- I know my win rate (it should be 40%+ with 1:2 RR)
- I know my expectancy (it should be positive)
- I journaled every single trade
- I followed my risk rules without breaking them
- I can handle 3+ losses in a row without panicking
- I have money I can afford to LOSE (not rent money, not savings)

Lesson 11.3: The Transition Strategy

PHASE 1: DEMO (Weeks 1-8)



- Trade your plan on demo with "real" lot sizes
(If your live account will be £1,000, use £1,000 on demo too)
- Track all results
- Prove consistency

PHASE 2: MICRO LIVE (Weeks 9-12)



- Open a live account with the MINIMUM deposit (£50-200)
- Trade micro lots (0.01) — your wins and losses will be tiny

- Purpose: Feel the EMOTIONS of real money without real damage
- This is where you discover if you can handle live trading psychologically

PHASE 3: SMALL LIVE (Months 4-6)

[illegible]

- If Phase 2 is profitable, add more capital (or keep compounding)
- Increase to mini lots (0.1) as your account grows
- Follow the SAME plan. Don't change anything that worked.

PHASE 4: FULL LIVE (Month 6+)

[illegible]

- You now have 6 months of data
- You know your edge. You trust your process.
- Scale up gradually. Never jump lot sizes dramatically.

Lesson 11.4: The Psychology Shift (Demo vs. Live)

ON DEMO:

"Easy money!"

Risk what you want

No fear of loss

No greed

Patient entries

Follow the plan

ON LIVE:

"Oh god, I'm losing real money"

Every pip feels heavy

Fear makes you close trades early

Greed makes you stay in too long

Rushing because "I need to make money"

Breaking rules because emotions

THE FIX:

- Start with micro amounts (£50) so the emotional weight is LOW
 - Treat live trading EXACTLY like demo – same plan, same rules
 - Remember: If your plan worked on demo, it'll work on live
- The ONLY variable that changed is your emotions. Control them.

Lesson 11.5: How Much Money Do You Need to Start?

THE HONEST ANSWER:

[illegible]

MINIMUM to learn (micro account): £50-100

COMFORTABLE starting point: £500-1,000

IDEAL for making meaningful returns: £2,000-5,000

BUT HERE'S THE THING:

If you can't be profitable with £100, adding more money won't help.

It'll just mean bigger losses.

Start small. Prove your edge. Then scale.

THE MATHS AT £1,000:

- 1% risk = £10 per trade
- 3 good trades per week at 1:2 RR = £60/week profit
- That's £240/month – 24% monthly return
- After 6 months of compounding: £1,000 → £3,300+
- THEN add more capital when you've proven yourself

Quiz — Module 11

- ## 1. What's the purpose of a demo account?

2. How many trades should you take on demo before going live? (Minimum)
3. What should your demo account size match?
4. What's the recommended first step when going live?
5. If you can't be profitable with £100, will adding more money help? (Yes/No)

MODULE 12: COMMON BEGINNER MISTAKES & HOW TO AVOID THEM

The 15 Mistakes That Kill Beginner Accounts

Look, I'm going to save you months of pain and thousands of pounds. Every single one of these mistakes? I've either made them myself or watched someone close to me make them. Learn from this list. Don't be that person.

Mistake 1: Trading Without a Plan

THE MISTAKE: "I'll just look at the chart and see what happens"

THE RESULT: Random entries, no consistency, confused results

THE FIX: Write a plan (Module 10). Follow it. No exceptions.

Mistake 2: Risking Too Much Per Trade

THE MISTAKE: "I'll just risk 10% – if it wins, I'll make a fortune"

THE RESULT: 3 losses = 30% drawdown. Panic. Account blown within a week.

THE FIX: 1% risk per trade. Maximum. Non-negotiable.

Mistake 3: No Stop Loss

THE MISTAKE: "I'll just watch it and close manually if it goes wrong"

THE RESULT: You walk away for 10 minutes. Come back to a destroyed account.

THE FIX: Set your SL BEFORE entering. ALWAYS. Then don't touch it.

Mistake 4: Moving Your Stop Loss Further Away

THE MISTAKE: "Just a bit more room – it'll come back"

THE RESULT: It doesn't come back. Your 1% loss becomes a 5% loss.

THE FIX: Your stop is set based on structure, not hope. Once placed, it's law.

Mistake 5: Overtrading

THE MISTAKE: Taking 10-15 trades per day because "more trades = more money"

THE RESULT: Spread costs eat your profits. Quality drops. Losses pile up.

THE FIX: Maximum 2-3 trades per day. Wait for YOUR setup. Let the rest go.

Mistake 6: Revenge Trading

THE MISTAKE: "I just lost. I need to make it back NOW."
THE RESULT: Emotional entry. Bigger lot size. Another loss. Spiral.
THE FIX: 2-loss rule. After 2 losses = DONE for the day. Walk away.

Mistake 7: Trading Every Pair

THE MISTAKE: 15 charts open. Jumping between pairs. "Something must be moving!"
THE RESULT: No deep knowledge of any single pair. Random results.
THE FIX: Pick 2-3 pairs. Learn their personality. Become an expert on those.

Mistake 8: Ignoring the Higher Timeframe

THE MISTAKE: Buying on M5 when the Daily chart is screaming bearish
THE RESULT: Fighting the trend. Losing repeatedly.
THE FIX: ALWAYS check the higher timeframe first. Trade WITH it, not against.

Mistake 9: Chasing Trades

THE MISTAKE: "I missed the entry but the candle is moving – I'll jump in now!"
THE RESULT: Late entry = poor risk-reward = getting stopped out on the pullback
THE FIX: If you missed it, you missed it. There's always another setup tomorrow.

Mistake 10: Trading During High-Impact News

THE MISTAKE: "NFP is in 5 minutes – let me open a position!"
THE RESULT: 50-pip spike, slippage, stop triggered, then price goes your way. Too late.
THE FIX: Close everything 30 mins before news. Wait 15 mins after. Then assess.

Mistake 11: Not Journaling

THE MISTAKE: "I'll remember what I did"
THE RESULT: You won't. After 50 trades, they all blur together.
THE FIX: Journal EVERY trade. Screenshot. Entry reason. Emotion. Result. Review weekly.

Mistake 12: Copying "Signals" or "Gurus"

THE MISTAKE: "This guy on Telegram says BUY – I'll follow him!"
THE RESULT: You don't know his risk, his stop loss, his plan. You enter blind.
THE FIX: Learn to trade YOURSELF. Signals make you dependent, not skilled.

Mistake 13: Expecting to Get Rich Quick

THE MISTAKE: "I'll turn £500 into £50,000 in 3 months"
THE RESULT: You overtrade, overleverage, and blow the account trying to force it.
THE FIX: Realistic targets = 5-15% per month for a GOOD trader. Build slowly.

Mistake 14: Switching Strategies Every Week

THE MISTAKE: Monday: "I'm a price action trader." Friday: "Maybe I should use indicators."
THE RESULT: No strategy gets enough trades to prove itself. No data. No improvement.

THE FIX: Pick ONE strategy. Trade it for 3 months minimum (100+ trades). THEN evaluate.

Mistake 15: Trading With Money You Can't Afford to Lose

THE MISTAKE: Using rent money, borrowed money, or savings you need

THE RESULT: Pressure. Fear. Emotional decisions. Guaranteed failure.

THE FIX: Only trade money that, if you lost it ALL tomorrow, your life wouldn't change.

The Beginner's Survival Summary

DO:

- ✓ Trade with a written plan
- ✓ Risk 1% or less per trade
- ✓ Use stop losses on every trade
- ✓ Journal everything
- ✓ Start on demo, transition slowly
- ✓ Trade 2-3 pairs maximum
- ✓ Follow higher timeframe direction
- ✓ Be patient – wait for YOUR setup

DON'T:

- ✗ Trade without a stop loss
- ✗ Risk more than 2% ever
- ✗ Revenge trade after losses
- ✗ Trade news events as a beginner
- ✗ Chase missed entries
- ✗ Follow signal groups
- ✗ Expect overnight riches
- ✗ Use money you can't afford to lose

Quiz — Module 12 (Final Exam)

1. What's the maximum % you should risk per trade?
2. After how many consecutive losses should you stop for the day?
3. How many pairs should a beginner focus on?
4. Should you trade AGAINST the higher timeframe? (Yes/No)
5. What's a realistic monthly return target for a good trader?
6. Name 3 things you should journal after every trade.
7. What should you do 30 minutes before high-impact news?
8. Is it okay to skip a day of trading if there are no good setups?
9. What's the purpose of the demo-to-live transition?
10. Complete this sentence: "A mediocre plan followed _____ will beat a perfect plan followed

CONGRATULATIONS — YOU'VE COMPLETED THE BOOTCAMP

Right. If you've read all 12 modules and done the quizzes, you know more about forex than 80% of people who open trading accounts.

But here's the thing — knowledge without action is worthless.

You now need to:

1. Open a demo account (if you haven't already)
2. Write your trading plan (Module 10 template)
3. Write your risk rules
4. Start taking trades on demo — journal every one
5. After 50+ profitable demo trades — go live with micro amounts

The market will always be there. There's no rush. But there IS a cost to hesitation — and that cost is another month of not building the skill that could change your financial future.

So stop reading. Start doing.

See you on the charts.

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